2. Another point to consider is proven competence, i.e. the past record of the management. How has the management managed the affairs of the company during the last few years? Has the company grown? Has it become more profitable? Has it grown more impressively than others in the same industry?

   It is always wise to be a little wary of new management and new companies as they have a very high level of mortality. Wait until the company shows signs of success and the management proves its competence.
3. How highly is the management rated by its peers in the same industry? This is a very telling factor. Competitors are aware of nearly all the strengths and weaknesses of a management and if they hold the management in high esteem it is truly worthy of respect. It should be remembered that the regard the industry has of the management of a company is usually impartial, fair and correct.
4. In good times everyone does well. The steel of a management is tested at times of adversity? And during a time of recession or depression, it is important to consider how well the management did? Did it streamline its operations? Did it close down its factories? Did it (if it could) get rid of employees? Was it able to sell its products? Did the company perform better than its competitors? How did sales fare? A management that can steer its company in difficult days will normally always do well.
5. The depth of knowledge of the management, its knowledge of its products, its markets and the industry is of paramount importance because upon this can depend the success of a company. Often the management of a company that has enjoyed a pre-eminent position sits back thinking that it will always be the dominant company. In doing so, it loses its touch with its customers, its markets and its competitors. The reality sinks in only when it is too late. The management must be in touch with the industry and customers at all times and be aware of the latest techniques and innovations. Only then can it progress and keep ahead. A quick way of checking this is to determine what the market share of the company’s products is, and whether the share is growing or at least being maintained.